

NEW RITES OF RECOVERY

RBI guidelines against collection agents of dues may make borrowers happy but a long-term solution requires educating borrowers, better credit monitoring and more reforms

■ By Malini Bhupta

When C. Ramesh, a 35-year-old small-time businessman in Bangalore, ran into losses, he decided to take a personal loan from a well-known non-banking financial company (NBFC). While taking a loan of Rs 6 lakh was easy, nobody told Ramesh that two successive defaults would bring the "unfriendly" recovery agent to his doorstep. Taking inspiration from another harried customer who committed suicide, Ramesh threatened the agent with taking the drastic step, but it did not cut ice with the hard-nosed collection agency.

Ramesh's story exemplifies the malaise that is plaguing the consumer finance and small-ticket loans industry. In their bid to make a fast buck, banks and financial institutions hawk expensive loans to low-income groups, without seeking adequate income proof. As a result, borrowers like Ramesh routinely end up in a financial mess as this segment borrows far more than it earns. The NBFC issued a loan to Ramesh as he owned a house, but did not check if his inflows would be good enough to service an EMI of over Rs 23,000.

Typically, the romance between a borrower and the bank lasts till the customer is not forced to pay up through recovery agents. With the banks and their collection agencies employing

strong arm-tactics, many consumers have even committed suicide in the recent past. After a spate of such incidents, the Reserve Bank of India (RBI) has come up with draft guidelines that seek to regulate banks and their recovery agents—NBFCs are not covered under the guideline. Once the guidelines are finalised in a month's time, banks and their recovery agents will not be able to call consumers at odd hours, threaten or confiscate property without prior notice. Banks will have to notify their consumers that their outstanding collections are being outsourced to their agencies and they can only call from designated



THE CRISIS OF CREDIT

NO EVALUATION

With numerous entities offering loans to the same consumers, neither is their credit history taken into account nor is their repayment capability judged as credit bureaus are ill-equipped for it

LACK OF KNOWLEDGE

Most low-income borrowers over-leverage, as they are unable to gauge their repayment capabilities. Delinquencies are highest in this segment.